Decent Quarter, Ramp-up Expected Q4FY26 Onwards

Est. Vs. Actual for Q2FY26: Revenue - Largely INLINE; EBITDA - INLINE; PAT - BEAT

Changes in Estimates Post Q2FY26 Result

FY26E/FY27E: Revenue: 0%/0%; **EBITDA:** 0%/0%; **PAT**: -5%/-5%

Recommendation Rationale

- **Robust Volume Expansion Across Core Segments:** PEL delivered a resilient performance with revenue and EBITDA rising 11% and 18% YoY, respectively, reflecting strong execution despite a challenging macro environment. Backed by healthy demand across key end-user industries, the company was able to deliver around 6% volume growth and expressed confidence in reaching the targeted volume growth of 10% in FY26. During the quarter, capacity utilisation stood at 90% for machined hours, 76% for sheet metal, and 77% for casting. PEL expects to see a ramp-up in capacity utilisation from Q4FY26, which shall further drive the volume growth.
- **EBITDA Margins Improve Despite Supply-side Issues:** The company continued to face challenges related to the supply of electrical steel and has started importing material from Japan and Korea. Despite this, PEL delivered 18% YoY EBITDA growth during the quarter, with an 87 bps improvement in margins. Gains were driven by better operating leverage from increasing volumes and ongoing cost optimisation measures.
- **Eyes On Next Leg of Growth:** As the current capacities are close to optimum utilisation, the company is planning to make a capital investment of Rs 150 Cr towards capacity expansion to meet the anticipated increase in demand. This capacity expansion is expected to be executed in stages, reaching peak levels by the end of FY27. PEL is also strategically working with customers to increase its contribution to the overall value chain. The management also mentioned that there is a major opportunity arising in the data centre space, and PEL is working on realigning the capacities to cater to the anticipated increase in demand. The management is also open to inorganic growth opportunities in the related sectors to drive the growth beyond FY28.

Sector Outlook: Positive

Company Outlook & Guidance: The company continues to see sustained order inflow and steady demand globally as well as domestically from sectors like traction motors, railway, components, data centres, and renewable energy sectors. The company is working with customers to increase the wallet share by providing value-added products and is exploring growth opportunities in the rising data centre sector. The management expects a significant ramp-up in volumes from Q4FY26, and expressed confidence in meeting the FY26 volume growth target (with the possibility of exceeding the same).

Current Valuation: 22x Sept'27E EPS (Earlier Valuation: 25x FY27E EPS)

Current TP: Rs 1,335/share (Earlier TP: Rs 1,350/Share)

Recommendation: We maintain our BUY recommendation on the stock.

Financial Performance

PEL reported Q2FY26 revenue of Rs 478 Cr, up 11% YoY and 5% QoQ, broadly in line with estimates. Capacity utilisation remained strong across operations. Sales Volume registered healthy growth across key product categories in Q2 and H1FY26. EBITDA came in at Rs 78 Cr, rising 18% YoY and 3% QoQ, also in line with our expectations. EBITDA margin stood at 16.3%, an improvement of 87 bps YoY. PAT was Rs 40 Cr, up 5% YoY and 75% QoQ.

Outlook

The company remains on track to achieve its FY26 and FY27 guidance. Steady demand from key end-user industries, despite short-term fluctuations, is expected to drive improved utilisation levels. Recently announced capacity additions will further support revenue growth in FY27 and beyond, with a meaningful earnings contribution from FY28. Revenue growth is expected to remain robust, supported by margin improvement as economies of scale strengthen and the share of value-added products increases over time.

Valuation & Recommendation

We marginally tweak our FY26E/FY27E estimates and roll forward the estimates to FY28E. These estimates take into account the capacity expansions and anticipated volume growth. We value the stock at 22x Sep'27E EPS and **with a revised target price of Rs 1,335/share,** implying an **upside of 48% from the CMP.** We believe the current valuation levels provide a good opportunity, as the company's long-term growth prospects remain strong, and we maintain our **BUY** rating on the stock.

Key Financials (Consolidated)

(Rs Cr)	Q2FY26	YoY (%)	QoQ (%)	Axis Est.	Variance
Net Sales	478	11%	5%	480	-3%
EBITDA	78	18%	3%	75	-2%
EBITDA Margin	16.26%	87bps	-25bps	15.63%	13bps
Net Profit	40	5%	75%	43	23%
EPS (Rs)	10.6	5%	75%	12.1	23%

Source: Company, Axis Securities Research

(CMP as of 10th November, 2025)

CMP (Rs)	902
Upside /Downside (%)	48%
High/Low (Rs)	1,512/835
Market cap (Cr)	3,396
Avg. daily vol. (1 m) Shrs.	39,570
No. of shares (Cr)	3.77

Shareholding (%)

	Mar-25	Jun-25	Sep-25
Promoter	54.2	54.2	54.2
FIIs	0.9	0.8	0.9
DIIs	18.8	19.2	20.5
Others	26.1	25.9	24.4

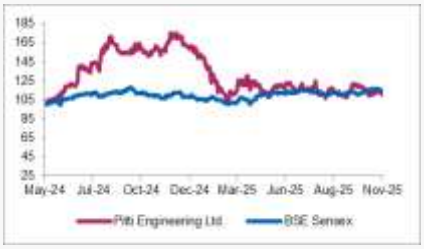
Financial & Valuations

Y/E Mar (Rs Cr)	FY25	FY26E	FY27E
Net Sales	1,705	2,012	2,375
EBITDA	271	331	392
Net Profit	122	148	193
EPS (Rs)	32.5	39.4	51.3
PER (x)	27.8	22.9	17.6
EV/ EBITDA (x)	13.2	10.8	9.1
ROE (%)	18%	15%	17%
ROCE (%)	22%	20%	22%

Change in Estimates (%)

Y/E Mar	FY26E	FY27E
Revenue	0%	0%
EBITDA	0%	0%
PAT	-5%	-5%

Relative Performance



Source: Ace Equity, Axis Securities Research

Results Gallery

Q1FY26
Q4FY25
Q3FY25
Q2FY25

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Key Concall Highlights

- **Company Performance:** Consolidated revenue for the quarter increased by 11% YoY to Rs 478 Cr, and EBITDA grew by 18% to Rs 78 Cr (excluding other income). EBITDA margin improved to 16.3% (87 bps improvement YoY), and PAT increased by 5% YoY. Margins remained similar to the previous quarter, supported by strong operating leverage. Volumes increased from 16,700 MT to 17,700 MT.
- **Capacity Utilisation:** The present capacity utilisation of sheet metal is 76%, machining hours 90%, and casting capacity 77%.
- **Volumes (QoQ):** Overall lamination volumes rose to 17,700 MT, with sales volume recording healthy growth across key product categories in Q2 and H1FY26. Stator frames (core drop) rose 117.4% in Q2 and 88.3% in H1FY26, YoY. Child parts (machined components) increased by 34.5% in Q2 and 35.1% in H1FY26. Stator frame/rotor shaft integrated assemblies (laminations) grew by 33.4% and 26.2%, respectively.
- **Exports:** Exports grew by 27% YoY, contributing to 28% of overall revenue. The USA accounts for around ~$16 Mn of annual revenue, where there is some margin pressure due to tariffs, but the volumes remain resilient. The tariff situation is also leading to increased demand in Mexico. The company is also expanding its footprint in Europe. Overall, the management sees continued demand visibility from the overseas market.
- **Update on Supply Chain Challenges:** The management mentioned that India is currently short on the total capacity of electrical steel, considering the demand, and the industry is likely to continue experiencing supply-side challenges until the new capacities become active. As a result, the company's inventory levels were elevated during the quarter, which in turn increased debt levels. The net debt levels are expected to remain at similar levels until the supply-related challenges are resolved. It has started importing material from Japan and Korea (from approved suppliers) for the time being.
- **Capex:** The company had previously approved a Capex of Rs 150 Cr to expand the manufacturing capacities. The planned expansion will increase consolidated sheet metal capacity from 90,000 MT to 1,08,000 MT (adding 8,000-9,000 MT by year's end, remaining next year), machine hours from 6,48,000 to 7,20,000, and foundry capacity from 18,600 MT to 24,000 MT. The capacity expansion in the Bangalore facility is already operational, and PEL expects order delivery to start from Q4FY26 and shall reach ~80% utilisation by the end of FY27.
- **Outlook:** The management mentioned that the company continues to see sustained order inflow and steady demand from traction motors, railway, components, data centres, and renewable energy sectors. Global data centre demand has boosted the demand for power generation solutions – presenting a major growth opportunity. PEL is actively working with customers to realign the capacities to cater to this anticipated demand. A strong domestic demand is expected, supported by an uptick in Capex. PEL targets to reach an annual lamination sales in the range 93,000-94,000 MT in 3 years (from current levels of around 70,000 MT) and 15,000 MT of annual sales of raw castings and machined components in three years (from current levels of around 10,000-11,000 MT)

Key Risks to Our Estimates and TP

- Delays in capacity expansion.
- Prolonged/elevated supply-side pressures leading to lower profitability.
- Currency and key commodity fluctuations.

Change in Estimates

(Rs Cr)

	Revised		Old			
	FY26E	FY27E	FY26E	FY27E	FY26E	FY27E
Revenue	2,012	2,375	2,012	2,375	0.0%	0.0%
EBITDA	331	392	331	392	0.0%	0.1%
PAT	148	193	156	203	-4.9%	-4.8%

Source: Company, Axis Securities Research

Results Review (Consolidated)

(Rs Cr)

Rs Cr	Q2FY25	Q1FY26	Axis Est	Q2FY26	YoY (%)	QoQ (%)	Axis Variance
Revenue	429	457	490	478	11%	5%	-3%
Gross profit	168	179	192	188	12%	5%	
Gross Margin (%)	39.2%	39.1%	39.1%	39.4%	13bps	23bps	23bps
Employee Cost	48	42	49	40	-16%	-6%	
Other Expenses	55	61	64	71	29%	16%	
EBITDA (Excl. Other Income)	66	75	79	78	18%	3%	-2%
EBITDA Margin (Excl. Other Income %)	15.4%	16.5%	16.1%	16.3%	87bps	-25bps	13bps
Other Income	25.9	7.4	14.3	21.3	-18%	188%	
EBITDA (Incl Other Income)	92.0	82.7	93.4	99.0	8%	20%	6%
EBITDA Margin (Incl. Other Income - %)	21.4%	18.1%	19.0%	20.7%	-70bps	260bps	168bps
Less: Depreciation	20	26	26	26	28%	0%	
EBIT	46	50	53	52	13%	4%	
Less: Net Interest	19	21	21	19	4%	-6%	
Profit Before Tax	53	37	46	54	1%	47%	
Less: Total Tax	15	14	13	14	-9%	1%	
Adj. PAT	38	23	33	40	5%	75%	23%
Adj. EPS	10.10	6.08	8.66	10.65	5%	75%	23%

Source: Company, Axis Securities Research

Note: Numbers for previous quarters reflect the effect of restatements made by the company post the merger with Pitti Castings Private Ltd., as made available by the company.

Financials (Consolidated)

Profit & Loss

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
Net Revenue	**1,705**	**2,012**	**2,375**	**2,709**
COGS	1,017	1,217	1,437	1,639
Staff costs	197	211	249	284
Operating Exp.	220	253	296	317
Total Expenditure	1,433	1,681	1,983	2,241
EBITDA (Excluding Other Income)	**271.1**	**331.0**	**392.3**	**468.4**
EBITDA Margin %	**15.9%**	**16.4%**	**16.5%**	**17.3%**
Other Income	39	50	59	68
EBITDA (Including Other Income)	**309.9**	**381.3**	**451.7**	**536.1**
EBITDA Margin %	**18.2%**	**18.9%**	**19.0%**	**19.8%**
Depreciation	81	103	116	129
EBIT	229	279	335	407
Interest	68	78	74	50
Other Income	39	50	59	68
PBT	162	200	261	357
Tax	39	52	68	93
Tax Rate %	*24.3%*	*26.0%*	*26.0%*	*26.0%*
PAT	**122**	**148**	**193**	**264**
EPS	**32.5**	**39.4**	**51.3**	**70.1**

Source: Company, Axis Securities Research

Note: Historical numbers may not fully reflect the effect of restatements made by the company after the merger with Pitti Castings Private Ltd.

Balance Sheet

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
Share Capital	19	19	19	19
Reserves & Surplus	880	1,023	1,210	1,469
Net Worth	**899**	**1,041**	**1,229**	**1,487**
Financial Non-Current Liability	366	386	286	236
Other Non-current Liability	-	-	-	-
Deferred Tax Liability	15	15	15	15
Total Non-Current Liability	**407**	**427**	**327**	**277**
Current Financial Liability	346	366	266	216
Other Current Liability	12	12	12	12
Provisions	1	1	1	1
Total Current Liability	**698**	**773**	**743**	**757**
Total Equity & Liability	**2,004**	**2,242**	**2,299**	**2,521**
Application Of Funds				
PPE	766	837	870	891
Capital Work in Progress	63	-	-	-
Right Use of Assets	117	117	117	117
Intangible Assets	8	8	8	8
Non-Current Financial Assets	**0**	**0**	**0**	**0**
Other Non-Current Assets	42	42	42	42
Total Non-Current Assets	**1,149**	**1,156**	**1,190**	**1,211**
Inventories	329	441	455	520
Current-Financial Assets	397	515	524	662
Other Current Assets	127	127	127	127
Total Current Assets	**855**	**1,085**	**1,109**	**1,310**
Total Assets	**2,004**	**2,242**	**2,299**	**2,521**

Source: Company, Axis Securities Research
Note: Historical numbers may not fully reflect the effect of restatements made by the company post the merger with Pitti Castings Private Ltd

Cash Flow

(Rs Cr)

Y/E Mar	FY25	FY26E	FY27E	FY28E
PBT	162	200	261	357
Depreciation & Amortization	81	103	116	129
Finance Cost	68	78	74	50
Change in Working cap	24	-104	0	-50
Direct tax paid	-38	-52	-68	-93
Cash flow from operations	**289**	**225**	**384**	**393**
Change in Gross Block	-282	-110	-150	-150
Chg in Investments	-44	-	-	-
Other Investments	-	-	-	-
Cash flow from investing	**-536**	**-110**	**-150**	**-150**
Fresh Issue Proceeds	307	-	-	-
Proceeds / (Repayment) of ST Borrowings (Net)	-13	-	-	-
Finance Cost paid	-68	-78	-74	-50
Dividends paid	-5	-6	-6	-6
Cash flow from financing	**269**	**-44**	**-280**	**-156**
Chg in cash	**22**	**71**	**-46**	**87**
Cash and cash equivalents at the beginning of the year	77	99	170	124
Cash and Cash equivalents at the end of the year	**99**	**170**	**124**	**212**

Source: Company, Axis Securities Research
Note: Historical numbers may not fully reflect the effect of restatements made by the company post the merger with Pitti Castings Private Ltd

Ratio Analysis

(x) / (%)

Y/E Mar	FY25	FY26E	FY27E	FY28E
Efficiency Ratios				
Asset Turnover (x)	1.00	0.95	1.05	1.12
Inventory Turnover(x)	3.30	3.16	3.21	3.36
Sales/Total Assets	0.85	0.90	1.03	1.07
Receivable days	50	51	51	52
Inventory Days	66	70	69	66
Payable days	61	65	65	66
Financial Stability Ratios				
Total Debt/Equity(x)	0.3	0.3	0.2	0.1
Total Asset/Equity(x)	2.5	2.2	2.0	1.8
Current Ratio(x)	1.2	1.4	1.5	1.7
Quick Ratio(x)	0.8	0.8	0.9	1.0
Operational & Financial Ratios				
Earnings Per Share (Rs)	32	39	51	70
Book Value (Rs)	239	277	326	395
Tax Rate (%)	24.3%	26.0%	26.0%	26.0%
Performance Ratios				
ROA (%)	7.2%	7.0%	8.5%	11.0%
ROCE (%)	21.6%	20.1%	22.2%	24.5%
ROE (%)	17.8%	15.3%	17.0%	19.4%

Source: Company, Axis Securities Research
Note: Historical numbers may not fully reflect the effect of restatements made by the company post the merger with Pitti Castings Private Ltd

Pitti Engineering Ltd Price Chart and Recommendation History

Date	Reco	TP	Research
18-May-24	BUY	1,145	Result Update
06-Jun-24	BUY	1,180	Company Update
01-Aug-24	BUY	1,403	Result Update
20-Aug-24	BUY	1,516	Result Update
19-Sep-24	BUY	1,572	Company Update
18-Nov-24	BUY	1,380	Result Update
17-Feb-25	BUY	1,340	Result Update
24-Apr-25	BUY	1,350	Result Update
11-Aug-25	BUY	1,350	Result Update
11-Nov-25	BUY	1,335	Result Update

Source: Axis Securities Research

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